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What presence, if any, does White-Collar Delinquency have in the Crypto Industry?

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Table of Contents

Abstract 4

I. Introduction 5

History of White-Collar Crime 5

Fraudulent Transactions 5

Implications for Society 6

II. Historical Overview of Corporate and White-Collar Crime, and their Implications on the Crypto Industry 7

Social Change and Corporate Crime 8

White-Collar Crime 9

Criminal Liability 10

III. Crypto Industry 10

Cryptocurrency 11

Blockchain 12

Decentralization 13

Anonymity of Cryptocurrencies 13

IV. Fraudulent Transactions and Cryptocurrency 14

Risks of Cryptocurrency 15

Types of Fraudulent Transactions in the Crypto Industry 16

Regulation: An Effective Way to Combat White-Collar Crime within Crypto 17

V. Theoretical Model 18

The Convenience Theory: A Tool for Understanding Cryptocurrency Crime 19

Deterrence Theory 20

Game Theory 21

Incentives as a Deterrent Against White-Collar Crime 22

VI. Legislation and Prevention 23

VII. Discussion 26

VIII. Conclusion 27

IX. Policy Implications & Memo 29

Policy Memo 29

X. References 31

Abstract

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This paper examines the presence of white-collar delinquency in the crypto industry. It examines the numerous sorts of white-collar crime performed in the cryptocurrency industry, and the motives behind these crimes. It also investigates the possibility of increased white-collar delinquency in the crypto industry, as well as the repercussions for the industry. Finally, it looks at the potential for law enforcement to combat white-collar delinquency in the crypto industry. The paper concludes that white-collar delinquency is a rising issue in the cryptocurrency business, and that law enforcement must take action to confront it.

Does White-Collar Delinquency exist in the Crypto Industry?

I. Introduction

White-collar crime, when people in positions of power or authority lie, cheat, or use other tricks to get what they want, can significantly affect the people who do it and society. This paper will examine the history of white-collar crime and what it means for the crypto industry. It will also talk about fraudulent transactions and theoretical models of deterrence. Finally, it will suggest laws and other ways to stop white-collar crime. The objective of this paper is not only to suggest potential solutions to this growing problem but also to bring attention to the impact white-collar crime has on society.

History of White-Collar Crime

White-collar crime has a long history, with some of the earliest examples of fraud and embezzlement occurring in the late 19th century (Kiviat, 2015). Since then, white-collar crime has become increasingly sophisticated, with criminals using technology and the internet to commit fraud and other financial crimes. The crypto industry has become a desirable target for white-collar criminals, as it offers anonymity and the potential for large profits. In short fraudulent transactions, many of these large profits are acquired through methods known as “rug-pulling,” “mixers,” and exchanges with Ponzi Scheme qualities, in short fraudulent transactions.

Fraudulent Transactions

Fraudulent transactions in cryptocurrency are a primary concern since they can cause significant losses for investors and other stakeholders. Furthermore, these transactions are challenging to trace and identify due to a lack of regulation and control, making it easier for criminals to exploit the system. As a result, consumers lack protection, and victims of fraud find it difficult to seek

justice. To address this problem, theoretical deterrence models emphasizing the application of sanctions and punishment have been proposed. Additionally, legislation and prevention strategies have been suggested, such as increased regulation and oversight of crypto exchanges, providing better customer education, and using blockchain technology to detect and prevent fraudulent transactions.

Implications for Society

White-collar delinquency, which refers to crimes committed by individuals in positions of authority or influence, can have significant consequences for both the perpetrators and society at large. According to Pontell and Rosoff (2009), white-collar crime involves the intentional use of dishonesty, fraud, or other forms of manipulation to gain an advantage for oneself.

Historically, white-collar crime has resulted in significant financial losses, reputational damage, and even imprisonment. It has also contributed to a decline in public trust in law enforcement and other governmental authorities. To prevent and prosecute white-collar crime, it is essential to impose harsher sanctions and enhance oversight of corporate activities.

Notably, white-collar crime can affect both adults and children, who may use their technical skills to engage in cybercrimes such as identity theft or credit card fraud. They may also commit fraud or embezzlement while in positions of power or responsibility, taking advantage of the increasing availability of digital currency. Furthermore, minors may engage in insider trading or other financial crimes, as well as bribery or other forms of corruption due to their access to information. These acts can victimize a large number of people who were previously unaffected by white-collar crime.

To ameliorate the situation, actions should be done for tackling white-collar crime among adolescents, including educating them about the risks and consequences of engaging in such activities. Additionally, tougher laws and surveillance of financial transactions could be enacted to prevent minors from participating in fraudulent operations. Ultimately, it is vital to acknowledge the far-reaching repercussions of white-collar crime and make necessary efforts to prevent, detect, and punish it.

II. Historical Overview of Corporate and White-Collar Crime, and their Implications on the Crypto Industry

Corporate and white-collar crime have a long history, with the first federal laws to target corporate criminality passed in the late 1800s. Since then, social movements and increased public awareness of corporate misconduct have resulted in tighter regulation of corporate activity. However, corporate crime has serious repercussions for both individuals and society, making it a major issue. Considering the emergence of the cryptocurrency Industry, it is more important than ever to take measures to prevent and punish corporate criminality.

The emergence of the crypto business has further underlined the necessity for stronger regulation of corporate activity. The cryptocurrency market's decentralized structure and emphasis on anonymity make it an attractive target for white-collar criminals due to the potential for high rewards and low risk of detection (Boubaker et al., 2019). Thus, new types of corruption such as fraud, embezzlement, insider trading, bribery, and Ponzi schemes have emerged to exploit the cryptocurrency sector. Criminals launder illicit funds through the use of "mixers" and decentralized exchanges to conceal their activity using blockchain technology (Kiviat, 2015).

Social Change and Corporate Crime

Historically, governments and regulatory agencies have not seen corporate crime as a crime and have mostly ignored it. Hamdani (2008), on the other hand, says that as social movements have grown and the public has become more aware of corporate wrongdoing, corporate crime has become more obvious and regulated more strictly. The Sherman Antitrust Act of 1890 was the first federal law in the United States to go after illegal business practices. Since then, many other laws have passed to control how businesses work. To stop and punish corporate crime, there needs to be better regulation and monitoring of businesses and harsher punishments for those who do wrong.

Because the crypto industry is anonymous and not controlled by a single group, white-collar and corporate criminals are interested. Since it provides the opportunity for big gains with little danger of detection, according to a survey by CipherTrace, a blockchain security company, thefts, scams, and frauds involving cryptocurrencies cost $4.5 billion in 2019. According to the research, most of these crimes were made possible by anonymous or pseudonymous cryptocurrencies, which let criminals hide their identities and avoid law enforcement. Also, because cryptocurrencies are decentralized, it is hard for authorities to find stolen assets and get them back.

As a result, actions must be taken to prevent and prosecute corporate criminality in the crypto industry. Examples of measures to prevent and prosecute corporate criminality in the crypto industry include increased regulation and control of cryptocurrency exchanges, enhanced client education, and the use of blockchain technology to detect and prevent fraudulent transactions.

White-Collar Crime

White-collar crime has a lengthy history, with early evidence of fraud and embezzlement dating back to the late 1800s. However, white-collar crime has become more complex since then, with criminals committing fraud and other financial crimes utilizing technology and the internet (Gertz, 2008). Cybercrime, for example, is a white-collar crime that involves using computer networks or devices to commit financial fraud, theft, or other illegal acts. According to the Federal Bureau of Investigation (FBI), cybercrime is one of the fastest-growing forms of white-collar crime, costing businesses and individuals billions yearly (FBI, n.d.). Also, as technology has improved, it has become easier for criminals to wash their money by using online payment systems, digital currencies, and other electronic ways to move money. Because of this, the Financial Action Task Force (FATF), an international group that works to stop money laundering, has said electronic payments are a big risk (FATF, 2019).

People in positions of power or authority, like business executives, politicians, and other high-ranking officials, often commit white-collar crimes (Holtfreter, 2005). Furthermore, as white-collar crime can take many forms, including fraud, embezzlement, insider trading, bribery, and other forms of corruption, these forms have evolved with the crypto industry. For instance, advances in technology had made it easier for insiders to access sensitive financial information and trade on that information before it becomes public knowledge, as seen in the 2018 case where a former Equifax executive was charged with insider trading for selling his company's stock before the public was informed of a massive data breach (SEC, 2018). In addition, the anonymity and decentralization of the crypto industry have made it an appealing target for white-collar criminals, including those involved in cybercrime, insider trading, and money laundering. White-collar criminals adapt to new technologies and take advantage of the crypto industry's

flaws. For example, they use cryptocurrency to launder money, blockchain technology to hide illegal transactions, and decentralized exchanges to make it easier for them to do illegal things.

Criminal Liability

The legal definition of white-collar crime varies from country to country, but the consensus is that a person or organization can be held criminally liable for white-collar offenses if they are found to have acted intentionally and with criminal intent. Unfortunately, how the media has portrayed white-collar crime has greatly impacted how people think about it. White-collar criminals are often portrayed as "masterminds" who can outsmart law enforcement and avoid punishment. This perception might lead to a lack of faith in the judicial system and the belief that white-collar offenders are "untouchable."

Overall, it is clear that corporate crime is an ongoing issue that requires more effort to prevent and prosecute. Increased regulation and control of business operations is one approach to addressing this issue, but additional measures such as enhanced consumer education and the use of blockchain technology can also be useful anti-fraud tools. Hence, more effort needs to be made to understand the crypto industry and build a suitable framework to prevent and prosecute white-collar activities.

III. Crypto Industry

The cryptocurrency industry is booming, and more people are embracing cryptocurrencies as an alternative to traditional currencies. It is a revolutionary and cutting-edge field that has the potential to bring a radical shift in the way we manage our finances. It is a constantly changing industry that gives customers options for transferring money and making online financial transactions that are safe and not controlled by a central authority.

Cryptocurrency

Cryptocurrency is a digital asset that can be securely created, exchanged, and stored through cryptography and distributed ledger technology (DLT). Bitcoin was the first cryptocurrency to be created in 2009, and since then, hundreds of other cryptocurrencies have been launched. Owing to its advantages like decentralization, transparency, low transaction costs, and anonymity, cryptocurrency systems are being rapidly utilized in various sectors such as finance, banking, and business transactions.

Blockchain and cryptography are the core components of cryptocurrency systems. Blockchain is a distributed database that holds digital currency transaction data. A network of computers maintains a decentralized and immutable ledger of transactions. Cryptography is a technique of mathematics that enables secure data storage and communication. It guarantees each transaction's security while permitting customers to choose how their data is shared.

Aside from its decentralized and secure nature, cryptocurrency systems have several other benefits. They are anonymous, which implies that users do not need to reveal their identity while executing a transaction. Furthermore, they have relatively low transaction fees compared to conventional payment systems. Moreover, due to these factors, it has been stated that "transactions are quick and safe, with no risk of double spending or fraud." (Bjerg, 2016).

Nevertheless, as cryptocurrency systems become increasingly common and accepted, they are used in multiple fields like finance, banking, and business transactions, perhaps digitally opening the industry to corporate and white-collar crime risks. According to research by Shrivas, Mahendra, and Yeboah (2017), cryptocurrency systems have the potential to significantly lower costs and improve efficiency in various areas. They can also help to decrease fraud and improve

the security of financial transactions. As cryptocurrency systems become more prevalent and recognized, they are expected to become a vital part of the global economy. Without a doubt, it is necessary to question if the blockchain, decentralization, and cryptography function as promised to deliver "improved financial transaction security."

Blockchain

Blockchain is an innovative technology that permits secure and immutable cryptocurrency transactions to occur on a distributed ledger. It is a database divided into multiple blocks, and each block records a transaction. Every transaction is added to the public ledger, which anyone accessing the blockchain network can view. Blockchain technology has been a revolutionary force in finance, allowing transactions to be conducted securely and transparently. In addition to this, the technology is also being employed for applications such as smart contracts, digital identity, and supply chain management.

Implementing blockchain technology has also been seen as a way to combat fraud and money laundering. According to a study by Sanz-Bas, del Rosal, C., Nanez Alonso, S. L., & Echarte Fernandez, M. A. (2021), blockchain technology could reduce fraud and money laundering activities in Europe and Spain. The study suggests that the technology could be employed to create a secure environment for transactions and would also help to enhance transparency and accountability. Additionally, the study also states that the use of blockchain technology would also help to lower costs related to compliance and regulation. In conclusion, blockchain technology has been confirmed to be an effective tool for combating fraud and money laundering, and its application is becoming increasingly popular in finance. With its capability to provide safe and transparent transactions, blockchain technology will continue to be utilized.

Decentralization

A single group, like a government or a bank do not control cryptocurrencies. Instead, they are run by a group of people who work together, enabling users to transact without relying on third parties or intermediaries to arrange their transactions, thus providing them greater financial autonomy. This arrangement has numerous advantages, including improved privacy and security and swifter transactions.

Decentralization is a major feature of cryptocurrencies, and Böhme (2015) has thoroughly investigated its potential uses. Böhme examines decentralization's economic, technical, and governance implications in this paper. He argues that decentralization gives users greater economic freedom and control while making transactions faster and more secure. Decentralization has far-reaching implications, and its applications are currently being explored. Cryptocurrencies enable users to transact without relying on a centralized authority, giving individuals increased control over their funds and establishing a more secure, private, and efficient transaction system.

Anonymity of Cryptocurrencies

Cryptocurrencies offer users the unique benefit of transaction anonymity, allowing them to preserve their privacy. As a result, cryptocurrencies have become attractive to those looking to partake in criminal activities like money laundering and other white-collar crimes.

Privacy has become an increasingly valuable commodity in the digital age. This is especially true for people carrying out financial transactions, as the traditional banking system requires customers to identify themselves before using the service. Cryptocurrencies, on the other hand, could provide users with unprecedented anonymity in the financial realm.

Cryptocurrencies' potential to provide users with anonymity has been a major factor in their popularity. Unfortunately, while this has benefited many users who want to remain anonymous, it has also made them attractive to those desiring to participate in illegal activities such as money laundering and other white-collar crimes. However, crypto enthusiasts have quickly pointed out that this is not a problem specific to cryptocurrencies and that the same risks exist with fiat currency.

Ultimately, it is up to the user to utilize their bitcoin correctly and not engage in any unlawful activities. While cryptocurrencies offer unprecedented levels of anonymity, users should remember that this does not permit them to break the law. "The anonymity inherent in using cryptocurrencies does not grant users immunity from criminal prosecution," writes Bjerg (2016). While anonymity can be advantageous for many users, it also has significant drawbacks and should be used cautiously.

IV. Fraudulent Transactions and Cryptocurrency

Despite the decentralized nature of cryptocurrencies and the lack of regulation, governments around the world have begun to take action against white-collar criminals by enacting legislation requiring greater transparency and oversight of cryptocurrency transactions, such as know-your-customer (KYC) policies, anti-money laundering (AML) laws, and other regulations designed to prevent criminal activity in the crypto space (Trozze et al., 2022; Foley, n.d.). This measure is required to protect cryptocurrency platform users from the risks posed by fraudulent activities such as money laundering, tax evasion, and other kinds of white-collar crime, which can result in legal ramifications, financial losses, reputational harm, and user distrust (Kilger, 2011; Ghernaouti-Helie, 2013).

Criminals frequently employ various strategies to perform fraudulent transactions, such as combining services, tumbling money, establishing shell businesses and offshore accounts, and utilizing smart contracts (Holt & Bossler, 2016; Akartuna et al., 2022; Gandal, 2017). The complexity of the technology involved in cryptocurrency transactions requires a heightened level of vigilance and education from law enforcement and regulatory bodies.

Risks of Cryptocurrency

The decentralized nature of cryptocurrencies and the lack of regulation makes them vulnerable to fraudulent activities such as money laundering, tax evasion, and other forms of white-collar crime. These activities create a number of risks for those engaging in them, including legal consequences, financial losses, reputational damage, and loss of trust among users of cryptocurrency platforms.

As Kilger (2011) notes in their work Corporate Hacking and Technology-driven Crime: Social Dynamics and Implications, these activities can have serious implications for individuals and organizations. Ghernaouti-Helie (2013) further emphasizes this point in their work Cyber Power, discussing the need to understand the motivations and capabilities of cybercriminals in order to combat them effectively.

Additionally, appropriate laws must be implemented and enforced to protect individuals and organizations from the potential risks associated with cryptocurrency-related crimes. Also, people need to know about the possible risks of cryptocurrency transactions and take steps to reduce them. Finally, by understanding the motivations and capabilities of cybercriminals, organizations can better protect themselves from financial losses and reputational damage.

Types of Fraudulent Transactions in the Crypto Industry

Criminals have increasingly adopted various techniques to conduct fraudulent transactions, including mixing services, tumbling coins, using shell companies and offshore accounts, and exploiting smart contracts. This is evidenced by research conducted by Holt and Bossler (2016), Akartuna et al. (2022), and Gandal (2017).

Holt and Bossler (2016) found that services like mixing and tumbling coins hide the origin of funds and conceal the identity of the person conducting the transaction. Akartuna et al. (2022) noted that shell companies and offshore accounts facilitate money laundering and terrorist financing. Gandal (2017) observed that the increasing prevalence of Bitcoin led to price manipulation in the cryptocurrency market.

Cryptographers, financial regulators, and law enforcement agencies have raised concerns about fraudulent transactions in cryptocurrency markets for over a decade. Despite this, the full scope of the problem still needs to be discovered due to the lack of transparency in cryptocurrency transactions. While the blockchain provides an immutable record of all transactions, its potential for money laundering and other criminal activity remains a cause for concern.

To address these issues, governments worldwide have implemented various regulations to limit the anonymity of cryptocurrency transactions. For example, the European Union's Fifth Anti-Money Laundering Directive requires cryptocurrency exchanges to collect customer information and report suspicious activity to authorities. Similarly, Japan's Financial Services Agency requires cryptocurrency exchanges to register with the government and implement anti-money laundering measures.

The adoption of these regulations has led to increased scrutiny of cryptocurrency transactions. However, by increasing the transparency of cryptocurrency transactions, regulators hope to prevent criminal activity in digital asset markets. As such, financial institutions and individuals must remain aware of their obligations under applicable laws when dealing with cryptocurrencies.

Regulation: An Effective Way to Combat White-Collar Crime within Crypto

Governments around the globe are beginning to take action against white-collar criminals by introducing legislation requiring greater transparency and oversight of cryptocurrency transactions. This includes implementing know-your-customer (KYC) policies, anti-money laundering (AML) laws, and other regulations to prevent criminal activity in the crypto space. As discussed by Trozze et al. (2022), this legislation aims to reduce the amount of illegal activity, such as money laundering, and cryptocurrencies enable that. Additionally, as noted by Foley (2019), implementing these regulations has resulted in a decrease in the amount of illegal activity financed through cryptocurrencies.

In general, enacting laws is an effective approach to fighting white-collar crime. Implementing KYC and AML standards restricts the amount of unlawful behavior facilitated by cryptocurrency and increases industry transparency and monitoring. Traditional, centralized, and corporate finance require more transparency in their daily activities. Additionally, these measures would provide police with additional tools for detecting and prosecuting criminals who attempt to use cryptocurrency for illegal purposes. Ultimately, this makes it harder to stay anonymous, engage in white-collar activities, and avoid repercussions. Understanding possible motives via

theoretical frameworks could thus contribute to the goal of regulation, which is a vital step in preventing white-collar crime.

Without such regulations, we open ourselves to situations like the collapse of the cryptocurrency derivatives exchanges FTX, as seen with the collapse of FTX and the scandal surrounding its founder, Sam Bankman-Fried, which has caused shockwaves throughout the crypto industry. FTX was founded in 2019 and quickly rose to become one of the most popular exchanges in the world. However, in April 2021, the exchange suddenly collapsed, leaving many investors out of pocket. In addition, allegations of fraud and insider trading against Bankman-Fried followed the collapse. It was alleged that Bankman-Fried had used insider information to manipulate the market and make profits for himself. This scandal has caused much controversy in the crypto industry, with many questioning the industry's integrity.

The collapse of FTX and the scandal surrounding Bankman-Fried have highlighted the need for greater regulation and oversight in the crypto industry. Additionally, regulators have been criticized for not taking action against FTX sooner and for not providing adequate oversight of the exchange. It has highlighted the need for investors to be more aware of the risks associated with investing in crypto assets and begs the question; of whether regulators are liable for not doing enough to protect investors from the risks associated with investing in crypto assets. Overall, the trustworthiness of exchanges and the security of funds on them make it clear that regulators must take a more active role in the crypto industry to protect investors and ensure the market's integrity. The crypto sector needs to work to make sure that these kinds of things do not happen again. (Kuhn, 2022)

V. Theoretical Model

The Convenience Theory suggests that individuals are more likely to engage in criminal behavior if it is seen as convenient or easy due to a lack of oversight or regulation. This is especially true in the case of cryptocurrency due to its decentralized nature and lack of regulation in many countries around the world (Nolasco & Vaughn, 2021). Alternatively, the Deterrence Theory claims that individuals will be less likely to engage in criminal behavior if they fear punishment or retribution from law enforcement or government agencies for their actions, which could be accomplished through increased enforcement of laws and regulations related to cryptocurrency transactions as well as public awareness campaigns (Holt, 2013). Lastly, the Game Theory suggests that individuals are more likely to engage in criminal behavior if they believe it is worth the risk of potential punishment or retribution from law enforcement or government agencies for their actions due to the potential rewards associated with such activities (Froggio, 2007). White-collar crime in the crypto space can also be stopped by offering rewards for reporting suspicious activity or information about criminal networks involved in white-collar crime (Langton, 2007; Crime and Victimization in Cyberspace, 2020).

The Convenience Theory: A Tool for Understanding Cryptocurrency Crime

The Convenience Theory, proposed by Nolasco and Vaughn (2021), is an important tool for understanding why individuals may engage in cryptocurrency-related criminal activities. This theory suggests that individuals are more likely to commit criminal acts if they perceive those acts to be convenient and easy to accomplish due to a lack of oversight or regulation. Convenience Theory is increasingly relevant due to the decentralized nature of cryptocurrency and its lack of regulation in many countries.

The Convenience Theory provides insight into why individuals may engage in criminal activities and highlights the need for increased regulation and oversight to reduce the likelihood of criminal activities. However, the decentralized nature of cryptocurrencies, combined with the lack of regulatory oversight and transparency, has created challenges in detecting and prosecuting white-collar crimes, allowing criminals to exploit the anonymity and untraceable features of the crypto industry. Therefore, it is important to understand the Convenience Theory to understand and address cryptocurrency crime.

In order to reduce the likelihood of criminal activities related to cryptocurrency, countries must work together to create regulations and oversight that increase transparency around transactions and ensure that all cryptocurrency transactions are accurately tracked and monitored. Also, countries should create laws prohibiting anonymous transactions and requiring users to identify themselves to prevent criminals from using cryptocurrency for illegal activities. Finally, countries should work with international organizations such as the Financial Action Task Force (FATF) to ensure that cryptocurrency is properly regulated and monitored across borders. By taking these steps, countries can work together to reduce the likelihood of cryptocurrency-related criminal activity.

The Convenience Theory provides a useful tool for understanding why individuals may engage in cryptocurrency-related criminal activities. By understanding this theory, countries can work together to create regulations and oversight that reduce the likelihood of these activities. Through cooperation, countries can ensure that cryptocurrency is used responsibly and safely, allowing its continued growth and development.

Deterrence Theory

Deterrence Theory suggests that individuals are less likely to engage in criminal behavior if they fear punishment or retribution from law enforcement or government agencies for their actions. Therefore, increased enforcement of laws and regulations related to cryptocurrency transactions and public awareness campaigns emphasizing the risks associated with white-collar crime in the crypto space could be efficient ways to deter criminal activity (Holt, 2013).

It should be noted, however, that Deterrence Theory has both beneficial and potentially harmful implications. On the one hand, it can be a powerful tool for curbing criminal behavior. However, on the other hand, if not implemented correctly, it could lead to a situation where the punishment is harsher than the crime and the criminal justice system is overburdened. Furthermore, evidence suggests that Deterrence Theory may be more effective when applied in tandem with other methods, such as rehabilitation and restorative justice.

Deterrence Theory can be an effective strategy for reducing criminal behavior if appropriately implemented. However, it should be used with other approaches to ensure that the punishment fits the crime and that the criminal justice system is not overburdened.

Game Theory

Game Theory suggests that individuals are more likely to engage in criminal behavior if the potential rewards associated with such activities outweigh the risk of potential punishment or retribution from law enforcement or government agencies. For example, Froggio (2007) studied the relationship between crime and "objective" versus "subjective" strains in the Journal of Criminal Justice. The results of this study suggest that individuals who perceive the criminal activity as a viable way to make money or gain power are more likely to engage in criminal behavior.

However, it is essential to note that the potential risks associated with criminal activities must also be considered when assessing whether or not it is worth the risk. For example, individuals may be deterred from criminal activities if they perceive that the potential punishment is too severe or if the potential rewards are too low. Furthermore, individuals may be deterred from criminal activities if they perceive the likelihood of being caught is too high. Finally, it is also important to note that Game Theory can be applied to other areas of life beyond criminal behavior. For example, individuals may weigh the potential risks and rewards of pursuing a career in a specific field or investing in a particular company. In this way, Game Theory can be used to explain various decision-making processes.

Game Theory is helpful for understanding why individuals engage in criminal activities and other decision-making processes. For example, it suggests that individuals are more likely to engage in criminal behavior if they perceive that the potential rewards associated with such activities outweigh the potential risks. Furthermore, Game Theory can be applied to other areas of life beyond criminal behavior, such as career and investment decisions.

Incentives as a Deterrent Against White-Collar Crime

White-collar crime is a severe issue in the crypto space, and it is crucial to have effective strategies to deter these activities. One such strategy incentivizes people to report suspicious activity or provide information about criminal networks involved in white-collar crime. Studies such as Langton's (2007) investigation of the relationship between strain and select white-collar offenses and Crime and Victimization in Cyberspace: A Socio-Criminological Approach to Cybercrime (2020) provide evidence for the effectiveness of incentives as a deterrent against white-collar crime.

Incentives can be structured in various ways, such as monetary rewards or other forms of recognition. They can be offered at both the individual and organizational levels and should be tailored to the specific contexts of each situation. For example, a company may reward employees who report suspicious activity or provide information about criminal networks. In contrast, a government agency may reward individuals who report or provide information about criminal networks.

Incentives can be a powerful tool in deterring white-collar crime and should be an integral part of any anti-crime strategy. They can help create a compliance culture and encourage people to report suspicious activity or provide information about criminal networks. Furthermore, incentives can help create a more secure environment for businesses and individuals, as criminals may be less likely to commit white-collar crimes if they know there is a chance of being rewarded for reporting suspicious activities or providing information about criminal networks.

VI. Legislation and Prevention

Governments worldwide have implemented rules and regulations to avoid white-collar crimes in the crypto realm, and research indicates that such measures can effectively discourage illegal behavior. In the United States, for instance, the Financial Crimes Enforcement Network (FinCEN) has issued guidance on applying the Bank Secrecy Act (BSA) to virtual currency, mandating that financial institutions conduct customer due diligence and report suspicious activity related to cryptocurrency transactions. In addition, the Securities and Exchange Commission (SEC) regulates initial coin offerings (ICOs) and considers many cryptocurrencies to be securities, subjecting them to securities laws.

Similarly, the Commodity Futures Trading Commission (CFTC) has been actively regulating cryptocurrencies as commodities, subjecting them to the same rules and regulations that apply to other commodities. In Europe, the Fifth Anti-Money Laundering Directive (5AMLD) came into effect in 2020, requiring crypto businesses to register with their local regulators and adhere to AML and counter-terrorism financing (CTF) guidelines. These regulations aim to prevent illicit activities in the crypto realm and ensure the industry operates with transparency and accountability. Carsello (2021) argues that implementing such policies is crucial for discouraging illegal actions in the sector, such as money laundering and terrorist financing. In the case of PlexCoin, the SEC has won an emergency asset freeze to halt an allegedly fraudulent initial coin offering (ICO). Podgor (2007) argues that holding organizations and individuals accountable for their conduct is essential to prevent white-collar crimes. The introduction of such restrictions and the enforcement actions taken against fraudulent operations in the crypto realm demonstrate the efficacy of regulatory frameworks in discouraging illegal behavior and fostering accountability.

Through public awareness campaigns, education initiatives, and government alliances, institutions operating in the crypto realm can also help prevent white-collar crime. For instance, Coinbase, one of the world's largest cryptocurrency exchanges, has created educational efforts, such as Coinbase Earn, to assist customers in comprehending how various cryptocurrencies function and the significance of complying with applicable legislation. In addition, Coinbase collaborates with government authorities to encourage openness and accountability in the cryptocurrency industry. Casanova and Savoie (2022) remark that cooperation between institutions in the crypto sector and government authorities can help assure the application and enforcement of legislation, hence boosting industry-wide openness and accountability. Coinbase announced a cooperation with the U.S. Department of Homeland Security in 2021 to create tools

to track and analyze bitcoin transactions to detect and prevent illegal behavior. These alliances can aid in the implementation and enforcement of regulations, as well as enhance openness and accountability in the cryptocurrency industry.

Individuals engaging in cryptocurrency transactions must know their obligations under applicable white-collar crime laws and regulations. As demonstrated by the case of BitMEX, a cryptocurrency futures exchange accused by the U.S. authorities of breaking anti-money laundering regulations and the Bank Secrecy Act, failure to comply with these regulations can result in severe fines. To settle the accusations, the corporation agreed to pay $100 million in fines and forfeitures, highlighting the severe repercussions of noncompliance. Croall (2009) emphasizes the need for education in preventing white-collar crime and protecting victims. Public awareness campaigns and education activities, like those offered by Coinbase, can help guarantee that individuals comprehend the dangers of white-collar crime and the significance of adhering to these regulations.

While research on the effectiveness of measures designed to combat white-collar crime in the crypto realm is ongoing, certain studies indicate that regulatory frameworks can help discourage illegal behavior. For example, a study by Décary-Hétu and Giommoni (2017) found that the shutdown of drug crypto markets by police in the Netherlands and the United States was associated with a decrease in the number of drug listings and transactions, demonstrating the potential effectiveness of enforcement measures in preventing illicit activities in the crypto space. However, in order to ensure that the crypto sector remains secure and trustworthy, additional research on the relationship between regulatory frameworks, public awareness efforts, and the prevention of white-collar crimes in the business is required.

VII. Discussion

This study sheds light on the prevalence and consequences of white-collar delinquency in the cryptocurrency industry. Due to the lack of regulation and oversight in this rapidly growing field, unethical and fraudulent actions often go unpunished, resulting in significant financial losses for investors and a loss of trust in the industry. Research shows that certain personality traits, such as psychopathy and narcissism, are commonly linked to white-collar crime. The decentralized and anonymous nature of the bitcoin industry makes it challenging to track down fraudulent activity, as demonstrated by case studies like the Mt. Gox and Bitfinex crises. They were highlighting the urgent need for stronger industry regulation and accountability for those responsible.

The convenience theory, deterrence theory, game theory, and incentives are valuable tools for understanding white-collar crime in the crypto industry. The convenience theory suggests that a lack of regulation and oversight creates an environment where criminal activity is most likely to occur. Deterrence theory proposes that individuals are less likely to engage in criminal behavior if they fear punishment or retribution. Game theory suggests that potential rewards can outweigh the risks, encouraging individuals to engage in criminal activities. Finally, incentives can effectively encourage people to report suspicious activity or provide information about criminal networks involved in white-collar crime.

The lack of regulation and decentralization in the cryptocurrency industry makes it easier for individuals to engage in criminal activities, leading to significant economic losses. Countries need to work together to create regulations and oversight that increase transparency and monitoring of transactions. Laws should be put in place to prohibit anonymous transactions and require user identification to prevent criminals from using cryptocurrency for illegal activities.

Collaboration with international organizations like the Financial Action Task Force (FATF) is necessary to ensure proper regulation and monitoring across borders.

While the convenience theory is essential in understanding why individuals may engage in criminal activities related to cryptocurrency, it is crucial to remember that regulation and oversight are challenging to implement due to the decentralized nature of the industry. A comprehensive approach that includes incentives and effective anti-crime strategies is necessary to create a safer and more secure crypto industry. This study highlights the severity of white-collar crime in the bitcoin industry and the need for stronger regulation, detection, and prosecution. Further research is required to understand better the personality traits and behaviors that contribute to white-collar delinquency in this environment, as well as the potential for nonverbal communication to aid in detecting such behaviors.

VIII. Conclusion

In conclusion, the emergence of cryptocurrency has created new opportunities for criminal activities in the form of white-collar delinquency. This study has provided an overview of the types of white-collar crimes committed in the crypto industry, including fraud, money laundering, and insider trading. Steinmetz (2020) describes an example of such criminal activity in his book Hacked, where hackers stole over $50 million worth of cryptocurrency by exploiting a vulnerability in a smart contract. Through analyzing the current state of regulations and legal enforcement efforts, we have found that the decentralized nature of cryptocurrencies has created significant challenges in detecting and prosecuting these crimes. Furthermore, we have discussed the use of technology in detecting and preventing white-collar crimes in the crypto industry. With the increasing availability of advanced analytical tools such as artificial intelligence and

blockchain analysis, law enforcement agencies and financial institutions can improve their ability to detect and prevent fraudulent activities.

There is a need for continued research into the implications of white-collar delinquency on the crypto industry and potential strategies for preventing such activities, including the importance of body language and nonverbal cues in detecting deception during investigative interviews. In addition, future research can investigate the effectiveness of training programs for investigators to improve their ability to detect and prevent white-collar crimes in the crypto industry. Additionally, policymakers should focus on implementing more comprehensive regulations, utilizing advanced technologies, and improving investigative techniques to promote a safer and more secure environment for the growing crypto market.

In summary, the crypto sector, like any other financial system, may be utilized for good and evil. It would be wrong to assume that the crypto business as a whole is a haven for white-collar criminals, although such activity has been documented. Many in the sector are engaged in proactive efforts to curb fraud, and new rules and guidelines are being implemented to increase openness and limit misconduct. As with financial fraud and insider trading in more established financial markets, white-collar crime in the cryptocurrency industry might be considered a continuation of similar practices from the past. However, some white-collar crime may find new openings in the crypto business due to its decentralized nature, low visibility, and high anonymity. Contrary to popular belief, such criminal activity is not restricted to the cryptocurrency sector but has been present in the broader financial business for quite some time. It is the responsibility of regulators, industry participants, and individuals to work together to reduce the possibility of fraudulent behavior in the financial system.

IX. Policy Implications & Memo

As seen from the sections presented, the policy implications of white-collar crime in the crypto industry would be to develop and enforce legislation to avoid illicit activities like money laundering and fraud. Developing and enforcing legislation to prevent illicit activities such as money laundering and fraud would help prevent white-collar crime in the crypto industry.

Concerns about regulatory arbitrage and the requirement for uniform enforcement across jurisdictions are further policy considerations. The proposal could also work to educate the public about the dangers of investing in cryptocurrencies, so fewer people fall for fraud and scams. The overarching policy conclusion would be to achieve a middle ground between stifling innovation and stunting growth in the cryptocurrency sector and shielding investors and consumers from potential dangers and fraud.

Policy Memo

To: [Policy-Maker]
From: Aaron M. Hermosillo, Graduate Student at UCI Criminology, Law & Society
Subject: Addressing White-Collar Delinquency in the Crypto Industry
Date: 3/23/2023

Based on recent research and analysis, I am recommending policy solutions to address the issue of white-collar crime in the crypto industry. The fast rise of this industry, coupled with the absence of regulatory control, has produced a climate ripe for fraud and cons. The following are some suggestions for addressing this problem:

1. Lack of governmental control in the cryptocurrency market has allowed scammers and fraudsters to exploit vulnerable investors. Therefore, we urge establishing clear regulatory rules

and a framework for imposing legal penalties against individuals who engage in fraudulent activity.

2. It is vital to promote education and awareness among investors and the general public regarding the hazards of participating in cryptocurrency. This can be achieved through various methods, including public campaigns, and forced disclosures by exchanges and other crypto-related organizations.

3. The crypto business has the potential to collaborate closely with law enforcement organizations to detect and prosecute fraudulent operations. Therefore, there should be increased communication and collaboration between law enforcement agencies and the crypto business to ensure that individuals who engage in fraudulent activities face legal consequences.

4. Enhance the security and transparency of exchanges. The lack of security and transparency in cryptocurrency exchanges has contributed to many fraud and theft incidents. Therefore, we urge that mandatory audits and third-party oversight be implemented to improve the security and transparency of cryptocurrency exchanges.

5. Establish a nationwide database of fraud: A nationwide database of fraudulent actions in the cryptocurrency business can be created to assist law enforcement authorities, investors, and the public identify frauds. This database should be periodically maintained and updated.

In conclusion, addressing the problem of white-collar crime in the cryptocurrency business is crucial. These guidelines can assist in avoiding fraudulent operations, raise awareness, and enhance the industry's transparency and security. By implementing these ideas, we can ensure that the crypto business works transparently and securely and that investors are safeguarded against fraudulent activity.

X. References

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